

A GUIDE FOR MANAGERS AND SPONSORS

Private Equity

How private equity capital is raised, what institutional allocators examine before they commit, and how we run a mandate.

IN THIS GUIDE

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Private equity capital is committed to a manager's judgement over a decade, so allocators underwrite the people first.

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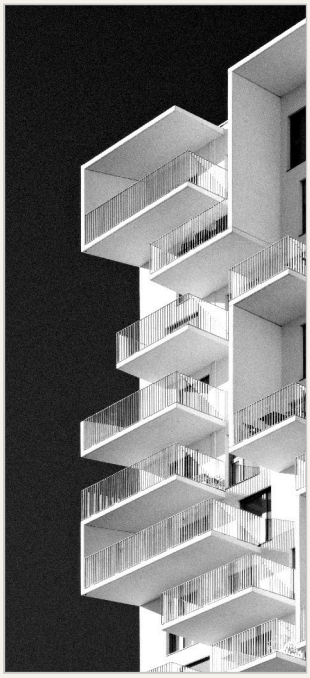
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THE EDUCATION SERIES



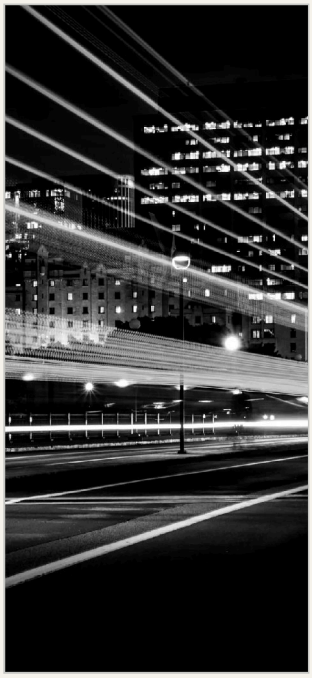
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01

THE ASSET CLASS IN BRIEF

How capital is raised



Private equity capital is committed once and drawn over years.

A private equity commitment is a promise of capital that is drawn over several years and returned only as companies are sold. Limited partners therefore assess the sponsor as much as the strategy: how deals are sourced, how value is created after closing, and whether earlier funds have converted paper gains into cash. Most committees read the track record deal by deal before they read the deck.

Distributions have run below historical norms for several years, and many limited partners still hold large unrealised positions from earlier vintages. That has changed the order of questions in a fundraise. Allocators now ask about DPI, exit timing and holding periods early, and they compare a sponsor's realised outcomes against vintage peers and public market equivalents before they discuss a new commitment.

The routes to capital have also widened. Alongside the classic blind pool fund, sponsors raise co-investment alongside specific deals, single-asset and multi-asset continuation vehicles, deal-by-deal capital as independent sponsors, and separate accounts for one large investor. Each route has its own buyer, its own diligence and its own documents. This guide sets out how each one is evaluated and what an institutional data room is expected to contain.

STRUCTURE	CAPITAL	INVESTORS	TIMING
Closed-ended fund, or a vehicle for a single transaction.	Committed at the start, drawn down as investments are made.	Pensions, endowments, sovereign funds, family offices, private wealth.	A first close, then later closes up to a final close.

WHO INVESTS

Pension funds	Endowments	Foundations	Insurers	Sovereign wealth funds	Family offices	Private wealth platforms

VEHICLES AND FUND LIFE

02 Private equity vehicles and who backs them

VEHICLE	STRUCTURE	LIFE OR LIQUIDITY	WHO ANCHORS	USED FOR
Blind pool fund	Closed-end limited partnership; commitments called as deals close, returned as portfolio companies are sold.	Ten years plus extensions, illiquid	Pensions, endowments, insurers and funds of funds	Building a diversified portfolio of control or growth deals under one strategy and team.
Co-investment	Direct minority stake beside the main fund in a named deal, usually on reduced or no fees.	Tied to the single company's hold	Existing fund LPs, sovereigns, large family offices	Filling equity cheques above fund concentration limits and deepening relationships with core LPs.
Continuation vehicle	New vehicle buys one or several assets from an older fund; existing LPs sell or roll.	Often four to five further years	Secondary funds as lead, with rolling LPs	Holding strong assets beyond the original fund term while offering liquidity to existing investors.
Independent sponsor deal	Capital raised deal by deal from equity partners after a target is under exclusivity or letter of intent.	Single deal hold, typically several years	Family offices, mezzanine funds, dedicated capital partners	Executing control acquisitions before the sponsor has a committed fund or full institutional record.
Fund of one	Separate account for a single investor, with tailored strategy, governance and economics.	Mirrors fund life or bespoke term	Sovereign funds, large pensions, insurers	Giving one large allocator customised exposure, reporting and control over pacing or sector mix.
Annex or top-up fund	Side vehicle raised from existing LPs to fund follow-on capital for current portfolio companies.	Matched to the parent fund	Existing LPs of the parent fund	Supporting add-on acquisitions or extra runway when the main fund has little capital left.

HOW A PRIVATE EQUITY FUND UNFOLDS

1
Pre-marketing
Soft soundings with existing and target LPs to test strategy, size and anchor interest.

2
First close
Anchor and early investors sign; investment period begins and capital calls can start.

3
Subsequent closes
Later investors join over the marketing window, usually paying an equalisation amount to earlier LPs.

4
Investment period
Typically the first several years; new platform deals are made and follow-on reserves set.

5
Harvest and extension
Exits return capital; extensions or a continuation vehicle handle assets still held at term.

THE MARKET TODAY

03 Capital raised is holding up, and it is going to fewer managers.

US$368.1bn

Global private equity capital raised in the first nine months of 2026, pacing up 3.1%

523

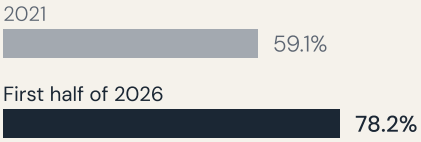
Private equity funds closed over the same period, pacing down 30.5%

24%

Share of capital raised gathered by mega-funds in the first three quarters, US$169.5bn

SHARE OF PRIVATE CAPITAL RAISED BY FUNDS OVER US$1 BILLION

The largest funds take a growing share of the capital.



Source: PitchBook, Q2 2026 Global Private Market Fundraising Report, data as of June 30, 2026.

FIRST-TIME PRIVATE EQUITY FUNDS CLOSED

New managers have felt the change most.



Source: PitchBook, Q2 2026 Global Private Market Fundraising Report. The periods differ in length and are shown as reported.

GLOBAL AND UNITED STATES, FIRST NINE MONTHS OF 2026

The United States has slowed more than the global total.

	CAPITAL RAISED	PACE	FUNDS CLOSED	PACE
Global	US$368.1bn	Up 3.1%	523	Down 30.5%
United States	US$222bn	Down 10.3%	348	Down 31.5%

Source: Foley & Lardner, October 2, 2026, citing PitchBook Q3 2026 Global PE First Look.

WHAT IT MEANS FOR A RAISE

Total capital raised is holding up, and it is going to fewer managers. A first-time or mid-sized fund should plan for a longer process.

Sources: Foley & Lardner, "An Early Look at Q3 2026 PE Activity" (citing PitchBook Q3 2026 Global PE First Look), October 2, 2026; Private Equity International (PEI Group data), October 29, 2026. Data providers count funds differently and their figures are not combined. Figures are as stated by the sources at the dates given. Inaya Advisory is not affiliated with any institution named here.

MARKET DATA

Private Equity in figures

US$395bn

Global buyout fundraising in 2025, down 16% as buyout led the slowdown

Bain & Company, Global Private Equity Report 2026, The Industry Gains Traction, 2026

US$3.8tn

Value held in roughly 32,000 unsold private equity portfolio companies

Bain & Company, Global Private Equity Report 2026, The Industry Gains Traction, 2026

US$717bn

Global buyout-backed exit value in 2025, up 47% year over year

Bain & Company, Global Private Equity Report 2026, The Industry Gains Traction, 2026

US$240bn

Global secondary market transaction volume in 2025, the largest year on record

Jefferies Private Capital Advisory, 2025 Global Secondary Market Review: Another Record-Breaking Year, 10 February 2026

US$115bn

GP-led secondary volume in 2025, up 53% and 48% of all secondary activity

Jefferies Private Capital Advisory, 2025 Global Secondary Market Review: Another Record-Breaking Year, 10 February 2026

14%

Approximate share of all sponsor-backed exit volume that came through GP-led secondaries in 2025

Jefferies Private Capital Advisory, 2025 Global Secondary Market Review: Another Record-Breaking Year, 10 February 2026

SECONDARY MARKET VOLUME, US$BN

GP-led volume rose from US$75bn to US$115bn in one year.



Source: Jefferies Private Capital Advisory, 2025 Global Secondary Market Review, 10 February 2026.

ACROSS ALL OPEN PRIVATE RAISES IN THE UNITED STATES

951

Open private offerings of US$50 million or more

567

Of them had reported nothing sold, 60%

414

Of the 470 open six months or longer had sold under a quarter

US$129.8bn

Of the US$149.3bn sought was still to be raised

Source: SEC EDGAR Form D filings, twelve months to July 2026. Inaya Advisory analysis. Amounts are as reported on each issuer's most recent Form D and can lag what has been raised.

04

ALLOCATORS

The numbers allocators test first

DPI

Distributions to paid-in capital: cash actually returned to LPs divided by capital they have contributed to the fund.

WHAT ALLOCATORS LOOK FOR

Realised cash on earlier funds, measured against vintage peers, before any weight is given to unrealised marks.

TVPI

Total value to paid-in: distributions plus remaining net asset value, divided by paid-in capital, after fees and carry.

WHAT ALLOCATORS LOOK FOR

How much of the multiple is still unrealised, and whether marks are supported by recent transactions or comparables.

Net IRR

Annualised return to LPs after fees, expenses and carried interest, driven by both size and timing of cash flows.

WHAT ALLOCATORS LOOK FOR

Whether the figure depends on subscription line timing or a single early exit rather than repeatable outcomes.

Loss ratio

Share of invested capital in deals realised or held below cost, often shown by deal count and by dollars.

WHAT ALLOCATORS LOOK FOR

Low capital loss across funds, honest disclosure of write-downs, and what the team changed after its losses.

Dispersion

Spread of gross outcomes across individual deals within a fund, from the weakest to the strongest investment.

WHAT ALLOCATORS LOOK FOR

Returns not carried by one or two outliers; a broad middle of solid deals that a new fund can repeat.

Value creation bridge

Breakdown of gross gains into revenue growth, margin expansion, multiple change and debt paydown for each realised deal.

WHAT ALLOCATORS LOOK FOR

Most of the gain explained by operating improvement, with limited reliance on rising entry to exit multiples.

Vintage benchmarking

Ranking each fund's DPI, TVPI and IRR against funds of the same vintage year and strategy.

WHAT ALLOCATORS LOOK FOR

Consistent top-half or top-quartile placement, a stated benchmark provider and no shifting of comparison sets.

PME

Public market equivalent: compares the fund's cash flows with the same flows invested in a chosen public index.

WHAT ALLOCATORS LOOK FOR

Clear excess return over the relevant index, with the index choice explained and appropriate for the strategy.

DILIGENCE

05 What institutional allocators examine

01
Team and attribution
Who sourced, led and sold each investment, and whether those people are still on the team. Allocators ask for results by deal, tied to named individuals.

02
Realised results
Allocators separate realised results from unrealised valuations, and look at how results vary across deals, vintages and market conditions.

03
Strategy and pipeline
Where the deals come from, why the manager wins them at a sensible price, and which transactions the early part of the fund is expected to finance.

04
Terms and alignment
How the fund terms compare with the market for the strategy, how much the general partner commits, and how conflicts of interest are handled.

Track record and attribution
Allocators rebuild the record from deal-level cash flows and ask who led each investment. They check that partners claiming a deal sat on its board and that results from a prior firm are portable, with consent to use them and supporting documents for each figure.

Sourcing and deal pipeline
Committees look at where past deals came from: proprietary relationships, intermediated auctions or founder introductions. They review the current pipeline, entry multiples paid relative to peers, and whether the strategy still finds deals of the right size as the fund grows.

Operating model
LPs test how value is created after closing. They ask for the hundred-day plan template, the role of operating partners, how management teams are hired or replaced, and evidence from realised deals that margin and revenue gains came from the sponsor's own work.

Team, alignment and succession
Diligence covers how carried interest is split across partners, vesting, the size and funding of the GP commitment, and turnover since the last fund. Allocators want the next generation of deal leaders named, economically included and already visible in recent transactions.

Valuation and reporting
Operational due diligence reviews the valuation policy, the role of the valuation committee, use of third-party valuation agents, and how marks moved before exits. LPs also look at quarterly reporting, ILPA template use, capital account statements and audit timelines.

Portfolio and exit readiness
For funds still holding assets, allocators study each unrealised company, its debt load, covenant headroom and likely exit route. They want a credible plan for older holdings, including whether a continuation vehicle, sale or recapitalisation is being considered.



WHO THE CAPITAL SERVES

Private equity capital is invested in operating companies and in the people who work in them.

06

INVESTORS

The investor map

ALLOCATOR	HOW THEY DECIDE	WHAT THEY WANT
Public pensions	Annual pacing plans, consultant recommendation, investment committee vote; commitment sizes follow allocation targets.	Institutional infrastructure, multiple realised funds, ILPA-aligned terms and transparent fee reporting.
Endowments and foundations	Small investment teams with long horizons; conviction in people and strategy drives early or emerging manager commitments.	Differentiated sourcing, smaller fund sizes and partners who stay disciplined on fund growth.
Insurers	Capital charges and regulatory treatment shape sizing; ratings and cash flow profile matter alongside returns.	Steady distributions, clear reporting for regulatory capital, and often rated feeder or note structures.
Funds of funds	Specialist teams run deep diligence across many managers; often first institutional money into newer sponsors.	Access to capacity-constrained funds, co-investment flow and emerging managers with portable records.
Secondary buyers	Price assets or continuation vehicles on asset-level underwriting, discount to NAV and sponsor quality.	Strong assets with visible exit paths, fair process, a fairness opinion and meaningful GP roll.
Sovereign wealth funds	Large central teams with board-level mandates; decide on relationships across funds, co-investment and accounts.	Scale, co-investment rights, governance seats on LPACs and tailored separate account options.

GULF SOVEREIGN CAPITAL

Gulf sovereign and quasi-sovereign investors are among the largest allocators to private equity globally. Most commit in sizeable tickets to established buyout and growth managers, and many pair fund commitments with co-investment rights or a separate account. Committees typically expect a local presence or a credible plan for regional engagement, and some look for portfolio companies that can expand into the region. Relationships are built over several meetings, and early access to co-investment often weighs heavily.

FAMILY OFFICES

Single-family offices often approach private equity through direct deals and co-investment as much as through funds, because they want visibility into individual companies and fewer layers of fees. Many back independent sponsors deal by deal and sector specialists close to the family's own business history. Multi-family offices behave more like small institutions, pooling client capital into fund commitments with consultant-style diligence. Both value access to the partners and clear communication on capital call timing.

07

IN THE MARKET

Why raises stall, and what fixes them

	WHY IT STALLS	WHAT FIXES IT
1 Low DPI on the prior fund	Allocators short of distributions will not add exposure to a sponsor whose earlier funds have returned little cash, however strong the unrealised marks look.	Show a realisation plan for older holdings, recent partial exits or dividend recaps, and position the record against vintage peers on DPI directly.
2 No anchor at first close	Without a committed anchor, other LPs wait to see who moves first, and the marketing period extends with no fixed date to work towards.	Secure an anchor with early-close economics or co-investment rights, set a credible first close date and keep momentum with a defined timeline.
3 Track record not attributable	When a team's history sits at a prior firm or is spread across partners, committees cannot verify who created the returns being presented.	Prepare deal-level attribution with board roles, former employer consent where needed and references who can confirm each partner's contribution.
4 Strategy drift or fund size jump	A much larger fund, new sector or new geography raises questions about whether the deals that built the record can still be found and executed.	Explain the pipeline at the new size, show precedent deals in the new area and size the fund to what the team has proven it can deploy.
5 Weak alignment and governance	Small GP commitments, unclear carry splits or limited LP protections lead committees to defer, especially for first and second time funds.	Increase and fund the GP commitment in cash, document carry allocation and adopt standard governance terms on key person and LPAC rights.

TERMS THE MARKET LOOKS AT

Management fee basis

Whether fees run on commitments during the investment period, then step down to invested capital or a lower rate, and how fee offsets apply.

Carried interest and waterfall

Whether carry is paid on a whole-fund European waterfall or deal-by-deal American basis, with clawback, escrow and guarantee provisions behind it.

Hurdle and catch-up

The preferred return LPs receive before carry is earned, and whether the GP catch-up is full or partial once the hurdle is cleared.

GP commitment

Size of the sponsor's own capital in the fund, whether it is funded in cash or through fee waivers, and how it is spread across partners.

Key person and removal

Which named partners trigger a suspension of the investment period, and the vote needed for no-fault removal of the GP or early termination.

LPAC and ILPA alignment

LPAC composition and approval of conflicts such as continuation vehicles, plus how closely reporting, fee disclosure and terms follow ILPA Principles.

Terms are described as general practice in the market. They vary by manager, strategy and allocator, and nothing here states our own fees.

PREPARATION

08 Materials and data room checklist

Private equity capital is committed to a manager's judgement over a decade, so allocators underwrite the people first.

Fund documents

- [ ] Private placement memorandum and investor presentation
- [ ] Limited partnership agreement and subscription documents
- [ ] Side letter template and most favoured nation process
- [ ] Valuation policy and conflicts of interest policy
- [ ] Completed ILPA due diligence questionnaire

Track record

- [ ] Deal-level cash flows for every prior investment
- [ ] Gross and net returns by fund and vintage
- [ ] Value creation bridge for each realised deal
- [ ] Attribution memo with board roles and consents
- [ ] Benchmark and PME comparison with source named

Team and firm

- [ ] Biographies, tenure and turnover since last fund
- [ ] Carried interest allocation and vesting schedule
- [ ] Succession plan and next-generation deal leaders
- [ ] Organisation chart and operating partner roles
- [ ] Compliance manual, registrations and service providers

Portfolio and reporting

- [ ] Current portfolio company summaries and debt levels
- [ ] Recent quarterly reports and capital account statements
- [ ] Audited financial statements for prior funds
- [ ] Case studies on one winner and one loss
- [ ] ESG policy and portfolio reporting approach



09

ON A MANDATE

How we run a mandate

The raises that close are prepared before any investor sees them.

A mandate runs in eight stages. Most of the work that decides it happens before any investor sees the materials, and the relationships it opens continue after the close.

BEFORE THE MARKET | IN THE MARKET | AFTER THE CLOSE

1 The First Conversation — IN CONFIDENCE
2 Senior Review — WITH REASONS
3 Positioning — BEFORE OUTREACH
4 Our Network — FIRST
5 Meetings and Diligence — ALONGSIDE YOU
6 Terms and Close — TO CLOSE
7 Wider Reach — ONLY IF NEEDED
8 Investor Relations — AFTER CLOSE

1 The First Conversation

A call with our Client Advisor about the fund or transaction, the target size and the timeline. You leave with a first read on how allocators are likely to receive it.

2 Senior Review

Our senior team reviews the track record, the materials and the proposed terms. You then know whether we would take the mandate and what we would change first.

3 Positioning

We prepare the materials around the questions an investment committee asks of a private equity manager, with attribution, realised results and the pipeline set out in full.

4 Our Network

The raise goes first to the pension funds, family offices, endowments and institutions we work with, starting with those most likely to commit at the first close.

5 Meetings and Diligence

We prepare each investor meeting with you and attend the ones that decide the outcome. Diligence questions are answered as they arrive, so the process does not stall between meetings.

6 Terms and Close

We stay in the commitment conversations through indications of interest, final terms and side letters, to each close and the final close.

7 Wider Reach

If our network does not cover the full raise, we approach further investors selected for it, with an approach written for each and the same preparation behind every meeting.

8 Investor Relations

After the final close, we keep in regular contact with the investors we introduced, so the next fund starts with investors who already know you.

10

THE FIRM

Our services

We work on equity raises only.

Inaya Advisory works with fund managers, sponsors, founders and private wealth principals. Every mandate is run by the people who accepted it, and every engagement is qualified before it begins.

8 stages	US$100 million to several billion	North America, Europe and the Gulf
IN EVERY MANDATE	SIZE OF RAISE	INVESTOR COVERAGE

01

Capital Raising Mandates

A full mandate from positioning to final close. The raise goes to our network first, in the order most likely to bring early commitments.

02

Investor Relations

Investor relationships kept working after the close and between raises. Offered after a mandate or on its own.

03

Targeted Introductions

A personal introduction to a specific investor whose mandate fits, for a raise that is already prepared and in market.

04

Mergers & Acquisitions

Advice to founders, families and principals on a full exit, a succession or the sale of a minority stake.

05

Positioning & Materials

The deck, the track record, the data room and the terms, prepared as an investment committee will read them.

06

Investment Committee Review

Our senior team reviews the raise the way an investment committee will, finds what an allocator will challenge and fixes it before diligence.



11

THE PEOPLE

The people who run the mandate



David Hunter

SENIOR ADVISOR

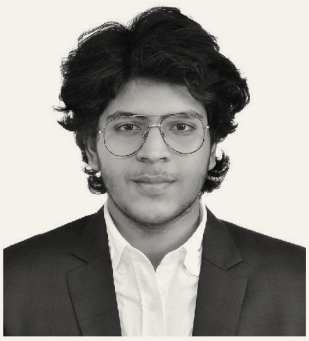
Close to forty years in institutional capital, including as Executive Director and Chief Investment Officer of the North Dakota and the US$40 billion Texas Municipal retirement systems.



Anas Ansar

MANAGING PARTNER

Runs each mandate from the first review of a raise to its final close. Leads origination and senior review with David Hunter, signs each engagement on the firm's behalf, and leads investor relations after the close.



Shayan Mohammed

MANAGING DIRECTOR

Leads the firm's investor coverage across North America, Europe and the Gulf, and decides which investors each mandate reaches, in what order, and when the first introductions are made.



Abbas Chothia

CLIENT ADVISOR

Leads the firm's client conversations, through to an engagement confirmed in writing. Over two decades across principal-level advisory, deal execution and company building.

WHO LEADS EACH STEP

	First conversation	Senior review	Proposed approach call	Positioning and materials	Order of investors	First introductions	Meetings to close	Engagement signed	Investor relations
David Hunter	·	●	●	●	·	●	●	·	●
Anas Ansar	·	●	·	●	·	·	●	●	●
Shayan Mohammed	·	·	·	·	●	·	·	·	·
Abbas Chothia	●	·	●	·	·	·	·	·	·

~40

Years in institutional capital for David Hunter, twenty-four of them in banking

2

US public pension systems he served as Executive Director and Chief Investment Officer

US$40bn

Texas Municipal Retirement System

Roles are as described on inayaadvisory.com. Career figures are from David Hunter's earlier roles and are not transactions of Inaya Advisory.

CONTACT

To discuss a mandate

Every mandate is reviewed before it is accepted, and our answer comes with reasons.

The first conversation is with our Client Advisor. It covers what you are raising and the timeline you are working to, and it is held by video and in confidence.

HOW A MANDATE BEGINS

1

First conversation

By video with Abbas Chothia, our Client Advisor, in confidence.

2

Senior review

David Hunter and Anas Ansar review the raise. The answer comes with reasons.

3

Proposed approach

A call with David Hunter and Abbas Chothia on positioning, order of approach and structure.

4

Engagement

The scope is set in writing and signed by Anas Ansar on the firm's behalf.

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BOOK A CONSULTATION

inayaadvisory.com/mandateconsultation

WEBSITE

inayaadvisory.com



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This brochure describes general practice in private equity fundraising, which varies between managers and allocators. Market figures are as stated by the sources named, at the dates given. © 2026 Inaya LLC.



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